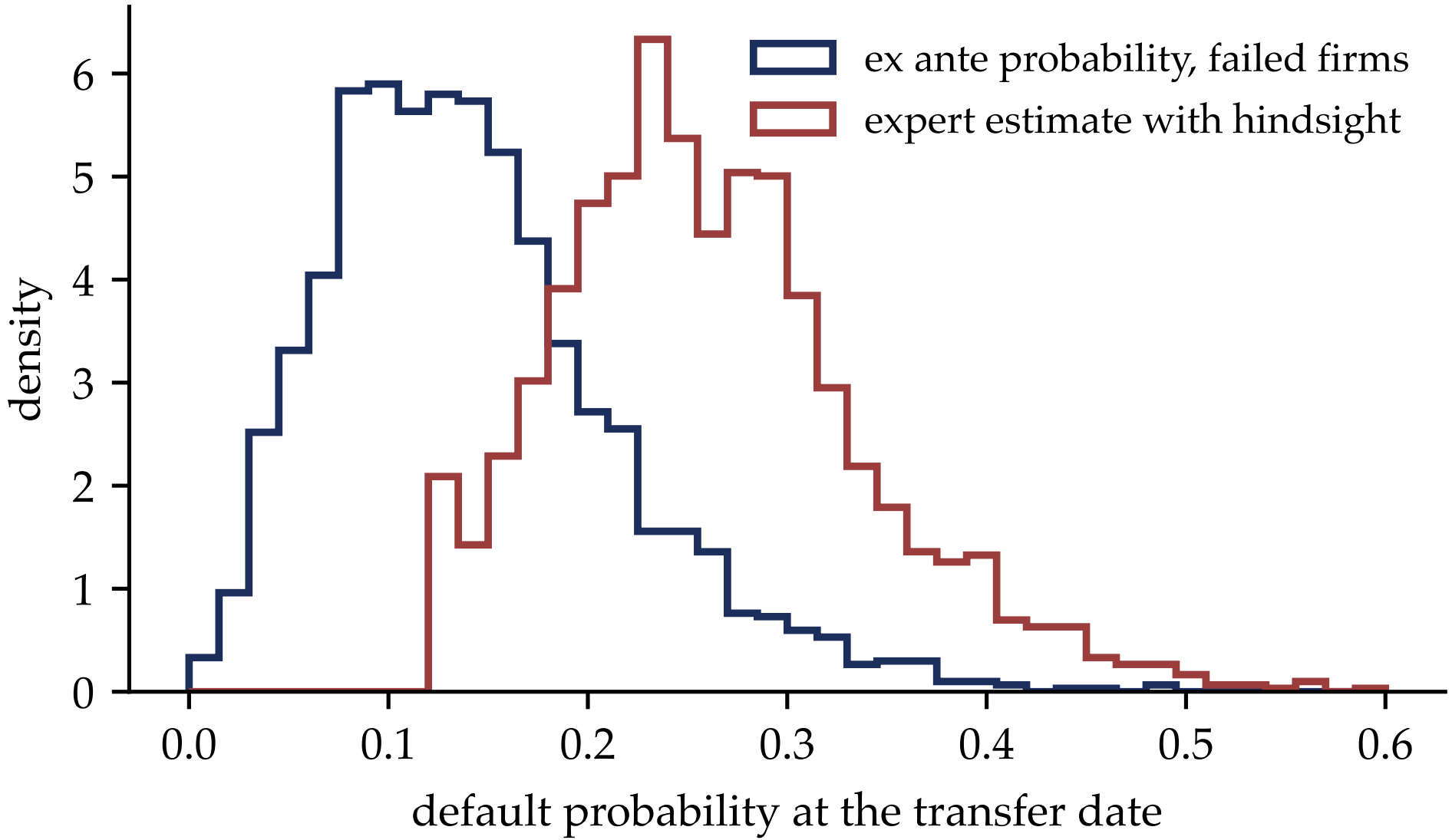
ex ante probability, failed firms
expert estimate with hindsight
density
0
1
2
3
4
5
6
0.0
0.1
0.2
0.3
0.4
0.5
0.6
default probability at the transfer date